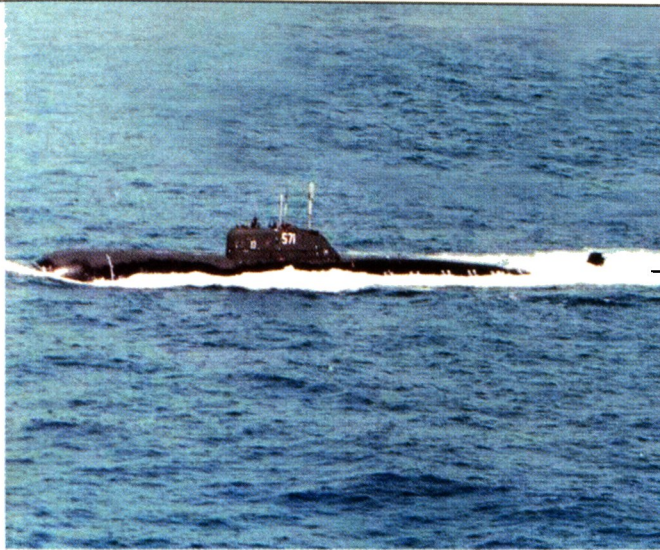
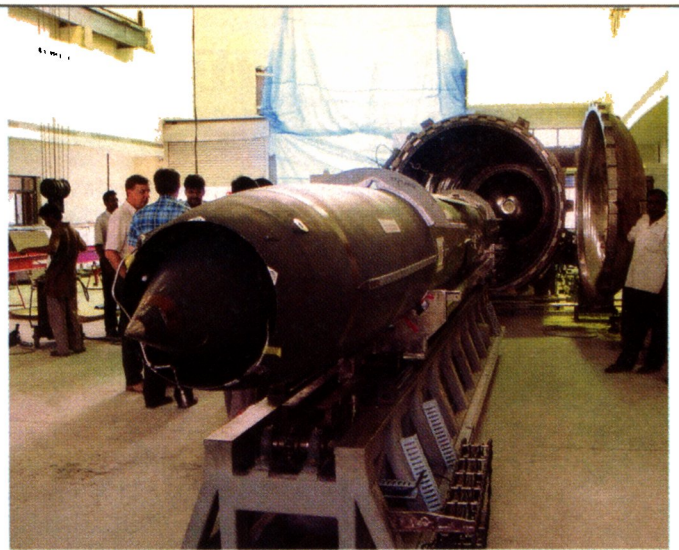




LARSEN&TOUBRO

WORKING ON: Hull fabrication of India's first indigenous nuclear submarine based on the Russian Charlie class SSGN (above), and 1,500-tonne offshore patrol vessels.

VYING FOR: Project 75 India—six conventional submarines for the navy worth over 3 billion Euros.



GODREJ

WORKING ON: Assembling airframe components of Brahmos missiles (above), supplying launchers to ISRO and equipment for civil and military nuclear reactors.

VYING FOR: Aerospace contracts, technology offsets from the estimated \$9-billion contract for 126 multi-role fighters.

PSUS because they are independent in areas like operations while PSUS work under guidelines. RURS have already started pouring in their millions. L&T has begun construction on a 50-acre factory in Talegaon, Pune, where it will assemble, integrate and test defence systems. It is scouting sites in Gujarat for an ultra-modern shipyard where it will launch warships and submarines for the navy. MDS is building a dedicated military vehicles plant in Gurgaon, where it will roll out land systems including the Axe.

A decade after it set an ambitious target of maximising self-sufficiency in defence by achieving 70 per cent indigenisation, the DRDO admits it has achieved only 30 per cent of its planned target. Yet, there are already signs that tremendous political will is required to implement the RUP policy. It has already set the Government on a collision course with powerful trade unions controlled by the Left Front. The All India Trade Union Congress (AITUC) and the Centre of Indian Trade Unions (CITU) have formed a forum for "self-reliance

in defence" against "creeping privatisation". The two unions claim to represent over half of the nearly two lakh workers employed in 39 ordnance factories and eight DPSUS. However, the public sector, whose interests the unions claim to represent, isn't unduly perturbed. Sudipta Ghosh, chairman, OFB, is not afraid of competition from RURS. "Defence infrastructure is expensive. RURS must come into areas where no national capacity exists and avoid duplication," he says.

Private investments, however, are taking place with the uneasy realisation that the Government is the only buyer, and no matter how nimble the private sector may be, it is at the mercy of a lumbering decision-making process. It took the Government four years to award the first major contract for making Pinaka multi-barrelled rocket launcher systems to L&T and Tata Power in 2006. OFB officials estimate it takes the armed forces eight years from the time initial requirements are finalised to the actual delivery of a weapon system. When will the

private sector produce the first made-in-India tier-1 and tier-2 systems? "We have not been allowed to develop capabilities until now, we certainly can't do this overnight," says Brigadier (retired) Khutub Hai, chief executive, MDS.

Since foreign majors are not yet prepared to hand over the valuable know-how for core defence systems like fighter aircraft engines, the Government is now contemplating hiking the FDI limit from 26 to 50 per cent. This, too, has irked the Left, which argues that since the private sector doesn't make full-fledged defence systems yet, it is not wise to increase FDI. "Most of India's defence requirement is anyway fulfilled through import and private companies here are in no position to produce defence goods by themselves," argues CPI General Secretary A.B. Bardhan. Antony's explanation that public sector efficiency will be enhanced by private partnerships has been dismissed by the unions. CITU President M.K. Pandhe thinks these are "ways to give a straightforward entry to MNCs in India's most strategic sector".

India will spend Rs 41,922 crore this year on importing military hardware, giving it the dubious distinction of being the world's largest arms importer. Over the next five years, this amount is set to triple over import of



"Private companies are in no position to produce defence goods by themselves."

A.B. BARDHAN, CPI GENERAL SECRETARY